

PURPOSE

The purpose of this policy is to generally document aspects of Hilton Worldwide, Inc.'s ("Hilton's" or "the Company's") policies regarding accounting for income taxes in accordance with U.S. GAAP.

POLICY SUMMARY

I. General Accounting Guidelines – Provides general accounting guidance for the Company's federal, state and foreign income tax accounting. This includes general guidance relating to:

- A. The measurement and recognition of current income taxes payable and receivable.
- B. The measurement and recognition of deferred tax assets and liabilities.
- C. The recognition of current and deferred income tax expense/benefit.

II. Realization Standards for Deferred Tax Assets – Details the policy for assessing the realizability of deferred tax assets and establishing valuation allowances as well as the Company's policy for recording the effects of subsequent changes in the valuation allowance.

III. Provision to Return Adjustments – Details the Company's policy when accounting for the financial statement impact of provision to return adjustments.

IV. Indefinite Reversal Exception – Details the Company's policy for establishing whether or not an investment meets the criteria as being "essentially permanent in duration," allowing for no deferred taxes to be recorded on that investment's book and tax outside basis differences – **RESERVED (as the Company currently does not apply the indefinite reversal exception to such investment basis differences)**

BACKGROUND / SCOPE

Hilton is a hospitality company operating and subject to income-based taxes in a variety of jurisdictions. Normally, income taxes payable for a particular year will be derived mostly from events/transactions that are recognized in the Company's financial statements for that same year. However, a particular jurisdiction's tax laws and GAAP standards for financial reporting may create differences in how balance sheet and income statement items are recognized and measured. The challenges posed in determining these differences, the high number of jurisdictions in which the Company operates, as well as the complexity of applying GAAP income tax accounting rules to various facts and circumstances make income taxes a critical area of accounting and thus drive the need for this policy.

APPLICABILITY

This policy applies to all entities within the Company's consolidated reporting group (ASC 810) subject to income-based taxes and Team Members with responsibilities over Income Tax Accounting.

EXCLUSIONS / EXCEPTIONS

This policy excludes all types of taxes and/or other assessments that are not deemed to be an income-based tax.

POLICY DETAILS

I. General Accounting Guidelines

The Company recognizes income-based taxes under the guidance of ASC 740, for all domestic and foreign entities that are consolidated, combined or accounted for by the equity or cost method within its financial statements.

The following discussion details the general policy for measuring and recognizing current and deferred income-based taxes within the Company's financial statements.

The concept of income-based taxes is not formally defined under U.S. GAAP. It is the Company's policy that tax regimes which calculate taxable income using some form of revenues less allowable expenses will be considered a jurisdiction that assesses an income-based tax. Not all income statement items, however, need to be considered by a particular tax regime for the Company to classify the tax as an income-based tax subject to this policy. Therefore, in those situations where the tax assessed by a particular tax regime does not meet a reasonable standard of revenues decreased by expenses, appropriate judgment will be exercised in determining whether or not that assessment should be accounted for as an income-based tax under this policy.

A. Measurement and Recognition of Current Taxes Payable and Receivable

After taking into account the income tax based structures for each jurisdiction and tax paying component (i.e., whether that be each filing entity or consolidated group), a taxable income base is derived and the applicable income tax rate is applied to that base to measure that jurisdiction's current income tax expense. Note that the determination of the income tax base and applicable rate is generally based upon enacted tax rates and laws applicable to the period included in the financial statements. All payments made to date relating to that jurisdiction are applied to the calculated current income tax expense to determine the amount of tax due at the end of each reporting period. Any resulting unpaid amount, whether it is for current or prior period income tax liabilities, is recognized as a current income tax payable. Any overpaid amounts of current or prior period income tax liabilities are recognized as a current income tax receivable. Additionally, if the measurement of current taxable income in a particular jurisdiction results in a loss which can be carried back to claim a current refund and the Company intends to file such carryback claim, then that will also be recognized (after considering the applicable tax rate in the carryback period) as a current income tax receivable.

For balance sheet presentation purposes, the Company separately quantifies whether it is in a current taxes payable or receivable position at the US federal, state and foreign levels. If the Company is in a debit balance for any of these three levels, the balance is reported as a current tax receivable in the balance sheet. Conversely, if the Company is in a credit balance for any of these three levels, the balance is reported as a current income tax payable in the balance sheet.

B. Measurement and Recognition of Deferred Tax Assets and Liabilities

After considering the tax regimes for each jurisdiction and tax paying component, the Company identifies its taxable and deductible temporary differences, as well as the appropriate tax attributes (e.g., tax credits and tax loss carryforwards).

The resulting temporary differences and tax loss carryforwards are then multiplied by the applicable tax rate to measure the Company's deferred tax assets and liabilities for each jurisdiction. Note that the identification of the temporary differences and the applicable tax rate is based upon enacted tax rates and laws as of the date of the financial statements. The resulting amount is then added to a jurisdiction's appropriate tax credits (i.e., tax credits to which ASC 740 applies) and reduced for all deferred tax assets that are considered to not be realizable (see further discussion below in section entitled "Realization Standards for Deferred Tax Assets"). This is done to determine the deferred tax asset and liabilities that will be recognized in the Company's financial statements.

The determination of an overall current and noncurrent deferred tax asset or liability is determined by the Company at the jurisdiction level. At this level, all deductible and taxable temporary differences are classified between current or noncurrent deferred tax assets or liabilities. Subsequent to this, there is a netting of current deferred tax assets and liabilities and a netting of the noncurrent deferred tax assets and liabilities which are then recognized within the Company's financial statements. Outside of this described jurisdictional netting, there will be no further netting that occurs (as cross-jurisdictional netting is not allowed). For this purpose, it should be noted that deferred tax assets and liabilities are generally classified as either current or noncurrent based on the classification of the related asset or liability for financial reporting (e.g., a deferred tax item related to fixed assets would be classified as noncurrent because fixed assets reside in the noncurrent asset section of the Company's balance sheet while a deferred tax item related to bad debts would be classified as current because the Company's bad debt allowance resides in the current assets section of the Company's balance sheet). If a deferred tax item is not related to an asset or liability for financial reporting (e.g., tax loss or credit carryforwards), the item will be classified as current or noncurrent based on its expected reversal date (within 1 year would be current while beyond 1 year would be noncurrent).

An assumption inherent in the above discussion is that the difference in the tax basis of the assets and liabilities and their reported amounts will be recovered and settled. However, when measuring and recognizing deferred taxes, there are exceptions to this. The following items represent facts and circumstances where the Company does not measure and recognize deferred taxes.

- a. Deferred taxes are not required when indefinite reinvestment exceptions are appropriately applied to the outside basis of an investment in a subsidiary or corporate JV that is essentially permanent in nature.
- b. Deferred taxes are not required when accounting for leveraged leases under ASC 840-10.
- c. Deferred tax liabilities will not be recognized for Goodwill (or a portion thereof) for which amortization is not deductible for tax purposes.
- d. Income Taxes paid on intercompany profits on assets that remain within the group and any resulting deferred tax assets for the difference between the tax basis of the assets in the buyer's tax jurisdiction and their cost as reported in the Company's consolidated financial statements will not be required (ASC 740-10-25-3(e), formerly ARB 51).
- e. Deferred Taxes are not required for differences related to assets and

liabilities that, under ASC 830-10, Foreign Currency Matters, are remeasured from the local currency into the functional currency using historical exchange rates and that result from (1) changes in exchange rates or (2) indexing for tax purposes.

- f. Deferred taxes will not be required for "windfall" benefits that do not reduce taxes payable under ASC 718-20-55-20.

C. Recognition of Current and Deferred Income Tax Expense/Benefit

After calculating each jurisdiction's current income tax expense (see discussion under the "Measurement and Recognition of Current Income Tax Payable and Receivable", above), the resulting amount is generally recorded to the Company's income statement as such. If the calculation of a jurisdiction's tax expense results in a loss that can be carried back to receive a refund and the Company intends to file such carryback claim, generally that amount will be recorded to the Company's income statement as a current income tax benefit.

With regard to deferred taxes, the policy for measuring and recognizing deferred taxes (see discussion under "Measurement and Recognition of Deferred Tax Assets and Liabilities", above) will result in an ending deferred tax asset or liability. The net change in the beginning and ending deferred tax balances is the amount that is generally recorded on the Company's income statement as deferred tax expense.

If applicable, both the current and deferred taxes discussed above may undergo further allocations among the various financial statement components; which are referred to as "intraproduct allocations". It is the Company's policy to apply the guidance set forth in ASC 740-20-45 with regard to the Company's facts and circumstances to determine the appropriate allocation of current and deferred income taxes to the following types of intraproduct allocations:

- a. Continuing Operations
- b. Discontinued Operations
- c. Extraordinary Items
- d. Other Comprehensive Income
- e. Items Charged or Credited Directly to Equity